



**Bureau of Experts at the Council of Ministers
Official Translation Department**

Unified Law of the GCC States on Industrial Regulation

Royal Decree No. M/108
November 24, 2025

Translation of Saudi Laws

NOTES:

1. This translation is provided for guidance. The governing text is the Arabic text.
2. The translation of Saudi laws takes the following into consideration:
 - Words used in the singular form include the plural and vice versa.
 - Words used in the masculine form include the feminine.
 - Words used in the present tense include the present as well as the future.
 - The word “person” or “persons” and their related pronouns (he, his, him, they, their, them, and who) refer to a natural and legal person.

For any comments or inquiries, please contact the Official Translation Department at:

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No.: M/108

Date: 3/6/1447H

**With the help of Almighty Allah,
We, Salman bin Abdulaziz Al Saud,
King of the Kingdom of Saudi Arabia,**

Based on Article 70 of the Basic Law of Governance issued by Royal Order No. A/90, dated 27/8/1412H;

Based on Article 20 of the Law of the Council of Ministers issued by Royal Order No. A/13, dated 3/3/1414H;

Based on Article 18 of the Shura Council Law issued by Royal Order No. A/91, dated 27/8/1412H;

Upon perusal of Shura Council Resolution No. 16/1, dated 23/3/1447H; and

Upon perusal of Council of Ministers Resolution No. 386, dated 27/5/1447H;

Have decreed the following:

First:

The Unified Law of the GCC States on Industrial Regulation, adopted by the Supreme Council of the Cooperation Council for the Arab States of the Gulf in its 43rd Session held in the city of Riyadh on 15/5/1444H, corresponding to 9/12/2022, shall be approved as per the version attached to Telegram No. 4134, dated 14/7/1444H, of His Excellency the Minister of Industry and Mineral Resources.

Second:

The Law referred to in Clause (First) of this Decree and its Implementing Regulations shall be published in the Official Gazette within 30 days of the issuance of the Implementing Regulations by the Minister of Industry and Mineral Resources. The Law and its Implementing Regulations shall become effective 90 days after their publication date.

Third:

The Ministry of Industry and Mineral Resources shall be the “Competent Authority” mentioned in Article 1(6) of the Law referred to in Clause (First) of this Decree, and the Minister of Industry and Mineral Resources shall be the “Head of the Competent Authority” mentioned in Article 1(7).

Fourth:

The Council of Ministers shall determine the minimum and maximum limits for the administrative fines and aggregate fines provided for in Article 21(2) of the Law referred to in Clause (First) of this Decree based on a proposal from the Ministry of Industry and Mineral Resources.



Fifth:

The Minister of Industry and Mineral Resources shall undertake the following:

1. Designating persons to have detection and recording powers, pursuant to Article 18 of the Law referred to in Clause (First) of this Decree, without prejudice to applicable laws and instructions.
2. Issuing the decision necessary to approve the Implementing Regulations of the Law referred to in Clause (First) of this Decree, which have been adopted by the Industrial Cooperation Committee in its 51st Meeting held in the Sultanate of Oman on 29/2/1445H, corresponding to 14/9/2023, in accordance with Article 25 of the Law, and issuing the decisions necessary to approve any amendment to the same.

Sixth:

The Ministry of Industry and Mineral Resources shall reach an agreement with the National Incentives Committee for the purposes of implementing Article 14 of the Law referred to in Clause (First) of this Decree regarding the incentive packages granted to the industrial sector by the Committee.

Seventh:

The Prime Minister, the ministers, and the heads of relevant independent agencies shall, each within their jurisdiction, implement this Decree.

Signed

Salman bin Abdulaziz Al Saud



Resolution No.: 386

Date: 27/5/1447H

The Council of Ministers,

In its session held under the chairmanship of the Custodian of the Two Holy Mosques King Salman bin Abdulaziz Al Saud, upon perusal of Casefile No. 26479, dated 2/4/1447H, received from the Royal Court regarding the draft Unified Law of the GCC States on Industrial Regulation;

Upon perusal of the abovementioned draft Law;

Upon perusal of Minutes No. 325, dated 9/11/1444H, and Memoranda No. 594, dated 21/2/1445H, No. 2977, dated 16/8/1445H, No. 4329, dated 24/12/1445H, and No. 1503, dated 21/4/1447H, prepared by the Bureau of Experts at the Council of Ministers;

Upon perusal of Telegram No. 1026, dated 4/2/1447H, of the Secretariat of the Council of Economic and Development Affairs;

Upon review of Shura Council Resolution No. 16/1, dated 23/3/1447H; and

Upon perusal of Recommendation No. 5218, dated 13/5/1447H, of the General Committee of the Council of Ministers;

Resolves the following:

First:

The Unified Law of the GCC States on Industrial Regulation, adopted by the Supreme Council of the Cooperation Council for the Arab States of the Gulf in its 43rd Session held in the city of Riyadh on 15/5/1444H, corresponding to 9/12/2022, shall be approved as per the version attached to Telegram No. 4134, dated 14/7/1444H, of His Excellency the Minister of Industry and Mineral Resources.

Second:

The Law referred to in Clause (First) of this Resolution and its Implementing Regulations shall be published in the Official Gazette within 30 days of the issuance of the Implementing Regulations by the Minister of Industry and Mineral Resources. The Law and its Implementing Regulations shall become effective 90 days after their publication date.

Third:

The Ministry of Industry and Mineral Resources shall be the “Competent Authority” mentioned in Article 1(6) of the Law referred to in Clause (First) of this Resolution, and the Minister of Industry and Mineral Resources shall be the “Head of the Competent Authority” mentioned in Article 1(7).

Fourth:

The Council of Ministers shall determine the minimum and maximum limits for the administrative fines and aggregate fines provided for in Article 21(2) of the Law referred to in Clause (First) of this Resolution based on a proposal from the Ministry of Industry and Mineral Resources.



Fifth:

The Minister of Industry and Mineral Resources shall undertake the following:

1. Designating persons to have detection and recording powers, pursuant to Article 18 of the Law referred to in Clause (First) of this Resolution, without prejudice to applicable laws and instructions.
2. Issuing the decision necessary to approve the Implementing Regulations of the Law referred to in Clause (First) of this Resolution, which have been adopted by the Industrial Cooperation Committee in its 51st Meeting held in the Sultanate of Oman on 29/2/1445H, corresponding to 14/9/2023, in accordance with Article 25 of the Law, and issuing the decisions necessary to approve any amendment to the same.

Sixth:

The Ministry of Industry and Mineral Resources shall, in agreement with the Ministry of Finance and the Non-Oil Revenue Development Center, submit a comprehensive proposal which includes the services for which fees are to be collected pursuant to Article 23 of the Law referred to in Clause (First) of this Resolution as well as the proposed amount for each fee, in preparation for completion of relevant statutory procedures.

Seventh:

The Ministry of Industry and Mineral Resources shall reach an agreement with the National Incentives Committee for the purposes of implementing Article 14 of the Law referred to in Clause (First) of this Resolution regarding the incentive packages granted to the industrial sector by the Committee.

Eighth:

Application of the provisions of the Law referred to in Clause (First) of this Resolution shall not prejudice the relevant laws and instructions of government agencies and committees, including the jurisdiction of the Ministry of Energy over the petrochemical sector pursuant to Royal Order No. 10030, dated 15/2/1443H, and Council of Ministers Resolution No. 535, dated 18/9/1443H.

A draft royal decree has been prepared regarding Clauses (First), (Second), (Third), (Fourth), (Fifth), and (Seventh) of this Resolution; a copy thereof is attached herewith.

Signed

Salman bin Abdulaziz Al Saud



Unified Law of the GCC States on Industrial Regulation

Upon perusal of the Charter of the Cooperation Council for the Arab States of the Gulf;

Upon perusal of the Economic Agreement between the States of the Cooperation Council for the Arab States of the Gulf adopted by the Supreme Council in its 22nd Session in 2001, particularly Article 8 thereof;

Upon perusal of the Unified Law of the GCC States on Industrial Regulation approved pursuant to a resolution issued by the Supreme Council in its 25th Session in 2004;

Upon perusal of the resolution of the Supreme Council of the Cooperation Council for the Arab States of the Gulf, relating to the exemption of industrial facilities in GCC States from customs duties imposed on industry inputs, issued in its 22nd Session held in the Sultanate of Oman on 30-31/12/2001;

Based on the recommendation of the Industrial Cooperation Committee in its 49th Meeting held on 19/10/2022; and

Based on the recommendation of the Ministerial Council in its 154th Preparatory Session held on 7/12/2022;

The Supreme Council of the Cooperation Council for the Arab States of the Gulf, in its 43rd Session held in Riyadh, Kingdom of Saudi Arabia, on 15/5/1444H, corresponding to 9/12/2022, has approved the Unified Law of the GCC States on Industrial Regulation, as follows:

Chapter 1: Definitions and General Provisions

Article 1: Definitions

In application of the provisions of this Law, the following words and phrases shall have the meanings assigned thereto, unless the context requires otherwise:

1. **Supreme Council:** Supreme Council of the Cooperation Council for the Arab States of the Gulf.
2. **GCC States:** Member States of the Cooperation Council for the Arab States of the Gulf.
3. **Ministerial Committee:** The committee concerned with industrial affairs.
4. **Law:** Unified Law of the GCC States on Industrial Regulation.
5. **Regulations:** Implementing Regulations of the Law.
6. **Competent Authority:** The ministry, agency, or entity concerned with industrial affairs in any GCC State.
7. **Head of the Competent Authority:** The minister or the head of the agency or entity concerned with industrial affairs.
8. **Department:** The department concerned with industrial affairs at the competent authority.



9. **Industrial Project:** Any economic activity the primary purpose of which is to, wholly or partially, manufacture products through the conversion of primary raw materials or materials previously converted into finished, semi-finished, or intermediate products, or the conversion of semi-finished or intermediate products into finished products, including the processes of mixing, separating, shaping, reshaping, assembling, packing, and packaging, provided that most, or some, of such processes are carried out by machines; this shall also include knowledge-based and environmental industries.
10. **Industrial Facility:** Any site where the operations of a licensed industrial project are carried out.
11. **Knowledge-Based Industries:** Industrial projects that heavily rely on the use of technology, intellectual capital, and technical know-how and skills which are based on research, development, and innovation; can be used in production processes; and aim to improve products, productivity, manufacturing processes, and business models and to produce new products.
12. **Environmental Industries:** Industrial projects which rely on environmental management technologies, waste treatment, recycling, pollution control, enhancing resource efficiency, and reducing emissions to promote clean production and sustainable development.
13. **Preliminary Approval:** The competent authority's non-objection to the completion of procedures and requirements relating to the issuance of an industrial license.
14. **Industrial License:** A certificate granted by the competent authority permitting its holder to establish, execute, and operate an industrial project in a designated field.
15. **Industrial Register:** A register into which industrial projects that have obtained industrial licenses and commenced the production phase are entered.
16. **Project Owner:** A natural or legal person holding an industrial license in any GCC State.

Article 2: Scope of Application

The provisions of this Law shall apply to all industrial projects in the GCC States, excluding the following:

1. Projects specified in the Regulations.
2. Projects governed by international treaties or agreements.
3. Projects governed by specific provisions in any GCC State.

Article 3: Purposes of the Law

This Law aims to achieve the following:

1. Regulating the industrial sector, promoting industrial development, encouraging industrial investment, increasing the industrial sector's contribution to national income, expanding industrial linkages, and integrating economic activities between GCC States.
2. Implementing the GCC States' economic policies with regards to manufacturing, and fulfilling the requirements of the plans and programs of economic development.
3. Supporting cooperation, integration, and coordination between the GCC States in industry-related affairs.
4. Promoting innovation and adopting and localizing advanced technology in the GCC States to develop the industrial sector and enhance its competitiveness.



5. Promoting policies relating to the qualified national workforce in the industrial sector in accordance with the laws applicable in the GCC States.
6. Promoting digital transformation in industrial projects in the GCC States and encouraging such projects to update and develop manufacturing technologies and to keep abreast with the Fourth Industrial Revolution and utilize its advanced technologies, including knowledge-based and environmental industries.
7. Promoting the use of energy-saving machinery and equipment in manufacturing processes.
8. Complying with security, health, safety, and environmental protection standards in accordance with the laws applicable in the GCC States.
9. Complying with public order as well as the customs and traditions observed in the GCC States.

Chapter 2: Industrial License

Article 4: Mandatory Industrial License

An industrial project may not be established, expanded, developed, merged, partitioned, or disposed of, wholly or partially, nor may its production or location be changed without an industrial license issued in accordance with the provisions of this Law.

Article 5: Industrial License Procedures

1. An applicant for an industrial license may obtain preliminary approval for an industrial project from the department, in accordance with the Regulations. The preliminary approval shall be valid for a period of one year, renewable as the competent authority deems appropriate.
2. An industrial license application shall be filed with the department using the designated forms and it must include all the information, documents, and studies specified in the Regulations. If the department requires any additional information, the applicant must be notified thereof. If such information is not submitted within one week from the notification date, the application shall be deemed null and void.
3. The department shall decide on a complete application within a period not exceeding 30 days from the filing date and shall notify the applicant of its decision within a period not exceeding seven days from its issuance date. If the application is rejected, the decision must be reasoned. The lapse of the 30-day period without a decision shall be deemed an implicit rejection.

An applicant whose application is rejected, whether expressly or implicitly, may file a grievance in accordance with Article 22 of this Law.

4. The department shall issue the industrial license in accordance with the unified form attached to the Regulations, and the license shall specify the period for the commencement of production.



Article 6: Cancellation of Industrial License

The competent authority may cancel the preliminary approval or the industrial license in any of the following cases:

1. Cancellation is requested by the project owner.
2. The procedures and requirements for the issuance of the industrial license are not completed.
3. The industrial project is not executed or not completed within the period specified for the commencement of production.
4. It is established that the industrial license was granted based on incorrect information.
5. The industrial project is not executed in accordance with the information upon which the license was granted.
6. The competent authority establishes that the industrial project does not satisfy the requirements and standards upon which the industrial license was granted.
7. The industrial project ceases production for a period exceeding one year without the competent authority's approval.

Article 7: Obligations of Industrial Project Owners

The project owner shall comply with the following:

1. Commencing and continuing the works of the industrial project for which privileges and exemptions were granted, in accordance with the specified terms and conditions.
2. Not assigning the privileges and exemptions or transferring the same in any manner to any other person without obtaining the prior approval of the competent authority.
3. Providing all the information relating to the industrial project requested by the competent authority.
4. Utilizing production materials covered by customs exemptions for the purposes for which such materials were exempt throughout the execution period of the licensed industrial project, and maintaining a record for such materials.
5. Notifying the department of the full or partial suspension of the industrial project within 30 days from the suspension date, and providing the reasons therefor.
6. Renewing the registration certificate in the industrial register.
7. Updating the department annually with the information specified in the Regulations using the designated forms.
8. Ensuring that the products of the industrial project conform to applicable national or Gulf specifications, and exerting all possible efforts to apply the specifications adopted in international markets.



Chapter 3: Industrial Register

Article 8: Establishing an Industrial Register

An industrial register shall be established at the department, and the Regulations shall specify the conditions and procedures for registration therein.

Article 9: Registration in the Industrial Register

The project owner must file an application with the department to register his project in the industrial register within 60 days from the date of commencement of actual production.

The Regulations shall specify the information to be contained in the industrial register's certificate of registration, the procedures required therefor, and the method for obtaining and using the same.

The certificate of registration in the industrial register shall be renewed annually in accordance with the laws of each GCC State.

Article 10: Industrial Project Information

The project owner or his heirs, or persons to which dispositions have been made, as the case may be, may obtain a printout of the information of the industrial project registered in the industrial register, in accordance with the procedures specified in the Regulations.

Article 11: Publication of Information, Data, and Statistics

Information, data, and statistics relating to projects registered in the industrial register shall be published in accordance with the Regulations.

Article 12: Prohibition of Circulation of Detailed Information

Information and data registered in the industrial register, which the project owner declares as confidential and undisclosed, may not be circulated or used, except in the cases provided for in this Law and the Regulations.



Chapter 4: Powers of the Competent Authority

Article 13: Industry Development Committee

A technical committee, or more, may be formed pursuant to a decision issued by the head of the competent authority to be in charge of industrial organization, development, and growth. The committee may seek the assistance of experts and technicians. The committee's formation decision shall specify its work rules and procedures and decision-making mechanism, in a manner not inconsistent with the provisions of this Law and the Regulations.

Article 14: Exemptions and Privileges

The imports of all industrial projects established in the GCC States shall be exempt from the taxes (customs duties) required for commencing industrial production, in accordance with the Controls for Exemption of Industry Inputs from Customs Taxes (Duties) in GCC States. The competent authority may grant an industrial facility certain privileges and incentives, subject to the laws of each State and in a manner not inconsistent with the obligations of the GCC States to the World Trade Organization.

Article 15: Participation in Industrial Projects

The competent authority may participate in industrial projects or cities by making a capital or in-kind contribution, in a manner not inconsistent with the laws and regulations applicable in the GCC States.

Article 16: Insurance against Damages

A project owner may be required to submit a valid insurance policy issued by a licensed insurance company which covers liability for potential damages, in accordance with the procedures applicable in each GCC State.

Article 17: Oversight and Control

Industrial projects shall be subject to the competent authority's oversight and control, in accordance with the procedures prescribed in the Regulations.

Article 18: Detection and Recording Powers

The competent authority's employees may be granted detection and recording powers to implement the provisions of this Law and the Regulations, in accordance with the procedures applicable in each GCC State.

Article 19: Entering Sites and Accessing Documents

The designated employees shall have the power to enter industrial project sites, offices, and branches; access books and documents; collect and examine product samples; and prepare reports upon detecting any violation of the provisions of this Law and the Regulations.



Article 20: Confidentiality

Persons authorized pursuant to this Law to access the books and records of industrial projects shall maintain the confidentiality of such information, and shall not disclose the same except to a competent entity. Any person who violates this provision shall be punished in accordance with the laws applicable in each GCC State.

Chapter 5: Administrative Penalties

Article 21

1. Without prejudice to criminal and civil liability, the competent authority may, pursuant to a reasoned decision, impose any of the following administrative penalties on industrial projects found in violation of the provisions of this Law or the Regulations:
 - a) A warning to rectify the violation within a period not exceeding 30 days.
 - b) Suspension of the industrial project for a period not exceeding 90 days.
 - c) An administrative fine computed on a daily basis to compel the violator to cease and rectify the violation.
 - d) An aggregate administrative fine.
 - e) Closure of the industrial project.
 - f) Cancellation of the industrial license.
2. Each GCC State shall determine the minimum and maximum limits of the administrative and aggregate fines, in accordance with its applicable rules and procedures.
3. Each GCC State shall collect the administrative fines through the collection methods applicable therein.
4. The administrative penalties imposed on an industrial project found in violation of the provisions of this Law and the Regulations must be proportionate to the gravity of the violation, the benefits gained from the project, and the harm sustained by others.

Chapter 6

Article 22: Grievances

An aggrieved party may file a grievance with the competent authority against any decision issued in implementation of the provisions of this Law, in accordance with the procedures applicable in each GCC State.

Article 23: Service Fees

The head of the competent authority shall determine the fees due pursuant to the provisions of this Law and the Regulations, in accordance with the procedures applicable in each State.



Chapter 7: Final Provisions

Article 24: Compliance

A project owner who obtained an industrial license prior to the entry into force of this Law shall, within one year from its effective date, make the adjustments necessary to comply with this Law and the Regulations.

Article 25: Regulations and Decisions

The Regulations shall be issued in accordance with the procedures applicable in each State upon approval thereof by the ministerial committee. Amendment of the Regulations shall also be subject to the procedures provided for in this Article.

The head of the competent authority shall issue the decisions necessary for the operation of the industrial sector and the management of its activities, in a manner not inconsistent with the provisions of this Law and the Regulations.

Article 26: Repeal

The Unified Law of the GCC States on Industrial Regulation, approved pursuant to a resolution issued by the Supreme Council in its 25th Session in 2004, shall be repealed.

Article 27: Amendments

The ministerial committee may propose amendments to this Law. The procedures provided for in Article 28 of this Law shall apply to the enforcement of such amendments.

Article 28: Approval

This Law shall be approved by the Supreme Council, and shall be applied on a mandatory basis in accordance with the constitutional procedures of each State.